

Bahir Dar University
College of Business & Economics
Department Of Management
Model Exit Exam

Name _____ IDNO _____ Signature _____

1. Performance evaluation and career planning fall under:

- A. Staffing
- B. Industrial Relations
- C. Human Resource Development
- D. Compensation

ANSWER: C

2. Which function of HRM is responsible for preventing workplace hazards?

- A. Staffing
- B. Compensation
- C. Safety and Health
- D. Industrial Relations

ANSWER: C

3. Why is HRM considered as an open system?

- A. It operates independently of external forces
- B. It is influenced by internal and external environmental factors
- C. It focuses only on internal organizational processes
- D. It ignores societal influences

ANSWER: B

4. When employee supply exceeds demand, organizations may:

- A. Increase hiring
- B. Promote all employees
- C. Use attrition or early retirement
- D. Increase overtime

ANSWER: C

5. Which of the following is an off-the-job training method?

- A. Coaching

- B. Job rotation
- C. Role play
- D. Apprenticeship

ANSWER: C

6. Employment agencies and placement services fall under:
- A. Third-party recruitment
 - B. Direct recruitment
 - C. Indirect recruitment
 - D. Internal recruitment

ANSWER: A

7. Team incentives are preferred over individual incentives when:
- A. Individual output is easy to measure
 - B. Cooperation is needed to complete a task or project
 - C. Competition among employees is encouraged
 - D. The organization has unlimited financial resources

ANSWER: B

8. A temporary separation of the employee from his or her employer is:
- A. Lay off
 - B. Discharge
 - C. Resignation
 - D. Dismissal
 - E. ANSWER: A

9. The lack of a single, universally accepted definition of management is primarily due to:
- A. Management being a very old discipline.
 - B. The different orientations and interests of theorists from various fields.
 - C. Management being universally the same in all organizations.
 - D. The absence of human factors in management theory.
 - E. ANSWER: B

10. Taylor's main criticism of traditional management was that it relied heavily on:
- A. Rule-of-thumb methods
 - B. Scientific experimentation
 - C. Employee participation
 - D. Rules and regulations
 - E. ANSWER: A

11. Which factor most strongly influences non-programmed decisions?
- A. Established rules
 - B. Past repetition
 - C. Uncertainty and uniqueness

D. Organizational policies

E. ANSWER: C

12. Which statement best explains the essence of directing?

A. It focuses only on issuing orders

B. It integrates individual goals with organizational goals

C. It eliminates the need for supervision

D. It relies mainly on coercion

E. ANSWER: B

13. Which step in the planning process most directly involves environmental scanning and organizational diagnosis?

A. Establishing objectives

B. Identifying alternatives

C. Identifying problems/opportunities

D. Budgeting

E. ANSWER: C

14. Controlling is dependent on planning because:

A. Planning reduces costs

B. Planning provides standards for comparison

C. Planning motivates employees

D. Planning ensures communication

E. ANSWER: B

15. Which of the following is a direct result of the organizing function?

A. Organizational structure

B. Budget preparation

C. Strategic objectives

D. Forecasting

E. ANSWER: A

16. Staffing primarily focuses on:

A. Structuring departments

B. Filling and maintaining positions

C. Setting organizational goals

D. Controlling performance

E. ANSWER: B

17. The variation in leadership definitions primarily reflects:

A. Lack of academic consensus

B. Differences in organizational structures

C. Diverse perspectives and theoretical orientations

D. Inability to measure leadership outcomes

E. ANSWER: C

F. 18. The Great Man Theory asserts that leadership:

A. Is learned through experience

B. Is determined by environmental factors

- C. Is developed through training programs
- D. Is an inherent trait present at birth

G. ANSWER: D

18. In the Ohio State Studies of leadership, "consideration" refers to:

- A. Strict adherence to rules
- B. Focus on task completion
- C. Concern for interpersonal relationships
- D. Delegation of authority

E. ANSWER: C

19. Which of the following is NOT a target area for organizational change?

- A. Structure
- B. Technology
- C. Employee emotions
- D. Physical setting

E. ANSWER: C

20. Revolutionary change is often associated with:

- A. Disruption and paradigm shifts
- B. Incremental improvements
- C. Stability and predictability
- D. Routine adjustments

E. ANSWER: A

21. A manager recognizes a disagreement but has not yet experienced emotional involvement. This corresponds to:

- A. Felt conflict
- B. Latent conflict
- C. Perceived conflict
- D. Manifest conflict

E. ANSWER: C

22. Social psychologists in OB focus primarily on:

- A. The design of organizational structures.
- B. The influence of people on one another and group decision-making.
- C. Individual personality and learning.
- D. Economic aspects of organizational transactions.

E. ANSWER: B

23. Which statement best explains the relationship between perception and behavior in organizational behavior (OB)?

- A. Behavior is determined by objective reality
- B. Behavior is based on perceived reality
- C. Perception has no effect on behavior
- D. Behavior and perception are unrelated

E. ANSWER: B

24. A type of power in which its base is identification with a person who has desirable resources or personal traits.

- A. Coercive power
- B. Reward power
- C. Referent power
- D. Informational power
- E. ANSWER: C

25. Social learning theory emphasizes:

- A. Learning through observation and experience
- B. Learning only through punishment
- C. Learning only through direct experience
- D. Learning through instinct
- E. ANSWER: A

26. Identify the wrong statement about the need of designing good organization structure.

- A. Facilitate Management
- B. Use of technology
- C. Stimulates creativity
- D. Over exploit human resources
- E. ANSWER: D

27. Social loafing is an example of:

- A. Positive synergy
- B. Neutral synergy
- C. Negative synergy
- D. No synergy
- E. ANSWER: C

28. Which need is at the highest level in Maslow's hierarchy?

- A. Esteem
- B. Self-actualization
- C. Safety
- D. Social
- E. ANSWER: B

29. The development of strong cohesion and group identity occurs in:

- A. Forming
- B. Storming
- C. Norming
- D. Adjourning
- E. ANSWER: C

30. When we say entrepreneurs have initiative, it is to mean that they

- A. Do things before asked for or forced to by events
- B. Takes repeated or different actions to overcome obstacles
- C. States desire to produce or sell a better quality product or service
- D. Makes decisions on his own and sticks to it in spite of initial setbacks

E. Answer: A

31. Business plan will have the following benefits, except

- A. It increases the anxieties and tension of the entrepreneur
- B. It helps to obtain large contract
- C. It help to attract key employees
- D. It help to obtain finance

E. Answer: A

32. The followings are the advantages of partnership form of ownership, except

- A. Ease of formation
- B. Lack of continuity
- C. Reduced risk
- D. Personal supervision

E. Answer: B

33. Which of the following part of a product addresses the question what customers really purchase?

- A. Core product
- B. Actual product
- C. Augmented product
- D. Package

E. Answer: A

34. a plan that identifies how marketing goals will be achieved is known as?

- A. Marketing research
- B. Marketing plan
- C. Market segment
- D. Marketing research

E. Answer: D

35. One of the following growth strategy attempts to sell current products to new customers by taking its products to new location(s)

- A. Product development
- B. Market development
- C. Market penetration
- D. Diversification

E. Answer: B

36. One of the following cannot be the advantages of management information system

- A. It facilitate planning
- B. It encourages centralization
- C. It minimizes information overload
- D. It brings coordination

E. Answer: B

37. ...is the technology of building and using machines (robots) with computer intelligence and computer

- A. Robotics
- B. Process control

- C. Machine control
 - D. Computer aided engineering
 - E. Answer: A
38. The mode of knowledge conversion in which tacit knowledge is converted into explicit knowledge is called?
- A. Combination
 - B. Internalization
 - C. Externalization
 - D. Socialization
 - E. Answer: C
39. One of the following is the most explosive ethical issues concerning workplace privacy and the quality of working conditions in business.
- A. Computer virus
 - B. Computer monitoring
 - C. Theft of intellectual property
 - D. Adware and spyware
 - E. Answer: B
40.can be defined as the art and science of formulating, implementing, and evaluating cross-functional decisions that enable an organization to achieve its objectives.
- A. Strategy implementation
 - B. Strategy evaluation
 - C. Strategy formulation
 - D. Strategic management
 - E. Answer: D
41. A good mission statement has the following benefits
- A. It provides direction
 - B. It helps to achieve high performance
 - C. It resolves divergent views among managers
 - D. IT creates confusion
 - E. Answer: D
42. One of the following has the purpose of developing a finite list of opportunities that could benefit a firm and threats that should be avoided
- A. External audit
 - B. Internal audit
 - C. Resource based view
 - D. Industrial view
 - E. Answer: A
43. Stage two in the strategy formulation framework is called the matching stage. Matching stage includes the following techniques, but one
- A. The Competitive Profile Matrix (CPM)
 - B. Strengths-Weaknesses-Opportunities-Threats (SWOT) Matrix
 - C. The Strategic Position and Action Evaluation (SPACE) Matrix

D. The Boston Consulting Group (BCG) Matrix

E. Answer: A

44. Which one of the following statements is false?

A. Resource allocation is a central management activity that allows for strategy execution

B. Policies facilitate solving recurring problems and guide the implementation of strategy

C. Successful strategy formulation does guarantee successful strategy implementation

D. Strategy implementation is fundamentally different from strategy formulation

E. Answer: C

45. Strategy evaluation criteria which refers to the need for strategists to examine sets of trends, as well as individual trends, in evaluating strategies is

A. Consonance

B. Consistency

C. Advantage

D. Flexibility

E. Answer: A

46. Identify the false statement about characteristics of a project

A. Every project have definite objectives (goals) to achieve

B. There is no risk and uncertainty associated with a given project

C. Has a specific time frame for completion with a definite start and finish

D. It is distinct and separate entity

E. Answer: B

47. Macro level, project ideas emanate from the following, except

A. National, sector or regional plans,

B. Identification of unsatisfied demand or needs

C. Unusual events such as droughts, floods, earthquakes, etc.

D. Multilateral or bilateral development agencies

E. Answer: B

48. Objectives of pre-feasibility study includes the following, except

A. To examine possible alternatives those are emanated in prefeasibility studies

B. To determine whether future analysis is justifiable

C. To undertake supporting studies, such as environmental impact, laboratory test, equipment selection, etc.

D. To undertake technical studies

E. Answer: D

49. One of the following is often used as a "first screening method".

A. Payback period

B. Internal rate of return

C. Accounting rate of return

D. Net present value

E. Answer: A

50. One of the following done to track actual progress against planned progress at any given time

A. Project feasibility

- B. Project monitoring
 - C. Project evaluation
 - D. Project preparation
 - E. Answer: B
51. ... issued by the federal government, sometimes referred to as government bonds.
- A. Treasury bonds
 - B. Corporate bonds
 - C. Municipal bonds
 - D. Preference shares
 - E. Answer: A
52. Which one of the following types of research mainly concerned with generalizations and with the formulation of a theory?
- A. Analytical research
 - B. Descriptive research
 - C. Basic(fundamental) research
 - D. Applied research
 - E. Answer: C
53. Main problems in formulating a working hypothesis includes
- A. The lack of clear theoretical framework
 - B. The lack of ability to utilize that theoretical frame work logically
 - C. The failure to be acquainted with available research techniques
 - D. Clear understanding of related literature
 - E. Answer: D
54. Identify the incorrect statement from the following
- A. Problem statement of a proposal needs to convince the sponsor to continue reading the proposal
 - B. Research objectives of a proposal addresses the purpose of the investigation
 - C. Title of a research should be too brief or too short
 - D. The title of a research proposal should be specific to the area of study
 - E. Answer: C
55. When a sample is obtained by separating the population elements into non-overlapping groups, called strata it is called
- A. Stratified sampling
 - B. Systematic random sampling
 - C. Cluster random sampling
 - D. Simple random sampling
 - E. Answer: A
56. In experimental method, the researcher can control?
- A. Dependent variable
 - B. Independent variable
 - C. Both the dependent of independent variable
 - D. Other than dependent and independent variables

E. Answer: C

57. refers to the process of assigning numerals or other symbols to answers so that responses can be put into a limited number of categories or scales

- A. Coding
- B. Classification
- C. Editing
- D. Tabulation

E. Answer: A

58. Research Report Writing Should Start With

- A. Preparation of the final outline
- B. Preparation of the rough draft
- C. Preparation of the final bibliography
- D. Logical analysis of the subject matter

E. Answer: D

59. One of the following can assume any value over a certain range and we cannot count these values.

- A. Discrete variable
- B. Continuous variable
- C. Qualitative variable
- D. Quantitative variable

E. Answer: B

60. The difference b/n a number in a data set and the mean of the data set is

- A. Mean deviation
- B. Standard deviation
- C. Coefficient of deviation
- D. Range

E. Answer: B

61. One of the following statements is false about probability rules

- A. Two events are said to be mutually exclusive if they have no sample space outcomes in common
- B. Two events are independent if the occurrence or non-occurrence of one event has no effect on the probability of occurrence of the other event
- C. Two events are independent if the occurrence or non-occurrence of one event does affect the probability of occurrence of the other event
- D. The law of total probability can be extended using the definition of conditional probability

E. Answer: C

62. Which discrete probability distribution enables us to find the probability that a specific number of incidents happen over a particular period?

- A. Binomial distribution
- B. Poisson distribution
- C. Hyper geometric distribution
- D. Normal distribution

E. Answer: B

63. Identify the incorrect statement

- A. The sampling distribution is the outcome of a random experiment of obtaining a sample from a population
- B. In simple random sampling design, each member of the population has an equal chance of being included in a sample
- C. In cluster sampling, we divide the population into convenient groups and then randomly choose the groups to study
- D. In judgmental sampling, we divide the population into convenient groups and then randomly choose the groups to study
- E. Answer: D

64. A test of hypothesis procedure that uses the critical-value approach involves different steps. The first step is

- A. Determine the rejection and non-rejection regions
- B. Calculate the value of the test statistic
- C. State the null and alternative hypotheses
- D. Select the distribution to use
- E. Answer: C

65. Which of the following is false about the properties of the chi-square distribution

- A. Chi-square is non-negative.
- B. For each degree of freedom, we have one chi-square distributions.
- C. The degree of freedom when working with a single population variance is $n-1$.
- D. For each degree of freedom, we have more one chi-square distributions.
- E. Answer: D

66. In the coefficient of correlation (r), values close to ONE indicates ____.

- A. Strong correlation
- B. Inverse relationship
- C. Direct relationship
- D. Weak correlation
- E. Answer: A

67. One of the following statements is not true about operation function

- A. It consists of all activities directly related to producing goods or providing services
- B. It exists not only in manufacturing and assembly operations
- C. The operations function is the core of most business organizations
- D. The essence of the operations function is to add value during the transformation process
- E. Answer: B

68. Effective operation process design can provide a competitive edge through the following, except

- A. Matches product or service characteristics with customer requirements
- B. Ensures that customer requirements are met in the simplest and least costly manner
- C. Reduces time required to design a new product or service
- D. Increases time required to design a new product or service
- E. ANSWER: D

69. Service concept in service design process refers to

- A. Purpose of a service; it defines target market and customer experience
- B. Mixture of physical items, sensual benefits, and psychological benefits
- C. Design parameters such as material used, dimensions, and form of processing
- D. Quantifies customer preferences toward quality
- E. Answer: A

70. Capacity efficiency describes

- A. Percent of available time spent working
- B. Standard hours of work assigned to a facility
- C. How well a machine or worker performs compared to a standard output level
- D. Ratio of load to capacity
- E. ANSWER: C

71. One of the following cannot be factors in heavy manufacturing location

- A. Proximity to markets
- B. Proximity to raw materials
- C. Labor availability
- D. Raw material and finished goods shipment modes
- E. ANSWER: A

72. Which one of the following facility layout arrange activities in line according to sequence of operations for a particular product or service?

- A. Process layout
- B. Product layout
- C. Fixed-position layout
- D. All of the above
- E. ANSWER: B

73. One of the following is not internal failure costs

- A. Customer complaint costs
- B. Process downtime costs
- C. Process failure costs
- D. Rework costs
- E. ANSWER: A

74. Identify the incorrect statement about aggregate planning

- A. Determine the resource capacity needed to meet demand over an intermediate time horizon
- B. Develop an economic strategy for meeting demand
- C. Establish a companywide game plan for allocating resources
- D. Establish a department game plan for allocating resources
- E. ANSWER: D

75. Which of the following is false about operations research?

- A. Operations Research tries to avoid the dangers from taking decisions merely by guessing
- B. It uses a logical approach to problem solving
- C. Operations research was originally created to solve business problems
- D. It is a war baby

E. ANSWER: C

76. _____ is a model type based on structure scheme that is the least abstract and is the physical model that looks like the reality.

- A. Symbolic model
- B. Analog models
- C. Iconic model
- D. Deterministic model
- E. ANSWER: C

77. Which of the following is a valid objective function for a linear programming problem?

- A. $\text{Min} = (x_1 + x_2)/x_3$
- B. $\text{Max} = 5xy$
- C. $\text{Min} = 4x + 3y + (2/3)z$
- D. $\text{Max} = 5x^2 + 6y^2$
- E. ANSWER: C

78. The range of optimality measures

- A. The change in the coefficient of the decision variables in the objective function without being out of the basic variable
- B. The right-hand-side values for which the values of the decision variables will not change
- C. The right-hand-side values for which the dual prices will not change
- D. The change in the coefficient of a non-basic decision variable
- E. ANSWER: A

79. Which of the following will not be used to find an initial feasible solution for transportation model?

- A. Least cost method
- B. Stepping stone method
- C. North west corner approach
- D. Vogel's approximation Method
- E. ANSWER: B

80. A transportation company has three plants and 4 destinations, due to infrastructural problem the company cannot transport its product from plant one to destination 3, such type transportation model is termed as

- A. Unbalanced transportation model
- B. Prohibited route
- C. Maximization problem
- D. Degeneracy
- E. ANSWER: B

81. Which of the following will not be used as decision criteria when decision is made under uncertainty?

- A. Maximax
- B. Expected Monetary Value

- C. Maximin
- D. Minimax regret
- E. ANSWER: B

82. Which of the following statement is false?

- A. The early start time of each activity in the network model is always equal to the early finish time of its immediate predecessor
- B. The Late Finish time of the last activity is equal to its Early Finish Time
- C. The late Finish time of activities other than the last activity is equal to the late start time of its immediate followers with the lowest value
- D. The Early finish time is always equal to early start time plus the time the activity requires
- E. ANSWER: A

83. A special type of linear programming model where by all of its right hand side values are one with the decision variables coefficients in the constraint function are also one is -----

- A. Transportation model
- B. Assignment model
- C. Transshipment model
- D. Game theory
- E. ANSWER: B

84. Which one of following marketing concept holds that consumers will favor these products that are widely available and low in cost?

- A. Production concept
- B. Product concept
- C. Marketing concept
- D. Selling concept
- E. Answer: A

85. One of the following cannot be internal marketing environmental factor

- A. Production capability
- B. Financial capability
- C. Marketing intermediaries
- D. Location
- E. Answer: C

86. The level in which consumer will experience some level of satisfaction or dissatisfaction is?

- A. Purchase decision
- B. Purchase Intention
- C. Attitude of others
- D. Post purchase behavior
- E. Answer: D

87. To be useful market segment must be conceptually distinguishable and respond differently to different marketing mix elements and programs. This characteristics is

- A. Market segment must be measurable
- B. Market segments must be differentiable
- C. Market segments must be accessible

D. Market segments must be actionable

E. Answer: B

88. The business analysis step in the new product development process involves

A. review of the sales, costs and profit projection for a new product

B. testing product and marketing program in more realistic market settings

C. make a final decision whether to launch the new product

D. systematically searching for new product ideas

E. Answer: A

89. Companies set their PRICING objectives WHEN they are suffering from overcapacity intense competition or changing consumer preference. This pricing objective known as

A. Maximum sales growth

B. Return on investment

C. Survival

D. Market share

E. Answer: C

90. Factors that will affect promotional mix decision includes

A. The nature of the market

B. The nature of the product and

C. The stage of the products life cycle

D. All of the above

E. Answer: D

91. Instead of extending its product line the firm may just choose to expand its market by going international. This reason to engage in international marketing is

A. Product life cycle

B. Geographic diversification

C. Increase in market share

D. Spin-off benefit

E. ANSWER: B

92. The political risk which refers to transfer of control of foreign investment to national ownership to bring the firm's activities in line with national interests

A. Expropriation

B. Domestication

C. Planned divestment

D. Adaptation

E. Answer: B

93. Exporting mode of international market entry is preferable when the following conditions prevail

A. When cost of production in the foreign market is very low

B. When there are political or other risks of investment in the foreign country

C. When foreign investment is not favored by the foreign country concerned

D. When the volume of foreign business is not large enough to justify production in the foreign market

E. Answer: A

94. Identify the incorrect statement

- A. The process of new product development for global markets is different to that for the domestic market
- B. While developing new product for foreign market greater emphasis is needed on legal requirements
- C. New product development and marketing in foreign markets is a high risk area
- D. New product development for foreign market needs systematic planning and management
- E. Answer: A

95. In formulating creative content of foreign advertising, the main factors to be considered include

- A. Legal factors
- B. Language factors
- C. Production and cost factors
- D. All of the above
- E. Answer: D

96. Process for arriving at the price in international market should start with

- A. Choosing the marketing mix
- B. Analyzing the marketing goals
- C. Determining the pricing policy
- D. Defining the pricing strategy
- E. ANSWER: B

97. One of the following cannot be foreign intermediary

- A. Export merchants
- B. Foreign sales agents
- C. Foreign sales representatives
- D. State controlled trading companies.
- E. Answer: A

98. Strategy evaluation criteria which refers to the need for strategists to examine sets of trends, as well as individual trends, in evaluating strategies is

- A. Consonance
- B. Consistency
- C. Advantage
- D. Flexibility
- E. Answer: A

99. manager removes strict supervision when employees meet their targets. What type of reinforcement the manager used to shape employees behavior?

- A. Positive reinforcement
- B. Negative reinforcement
- C. Punishment
- D. Extinction
- E. Answer: B

100. The feature of OB which is concerned that individual feelings, attitudes, perceptions, and goals are important to the organization. \

- A. Performance oriented
- B. Scientific method
- C. Way of thinking
- D. Humanistic orientation
- E. **Answer: D**
- F.

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